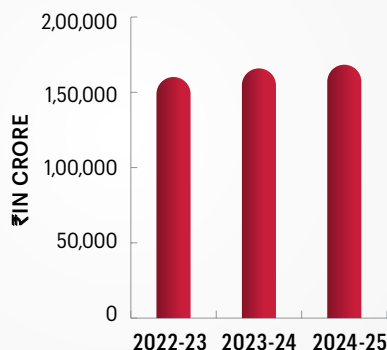
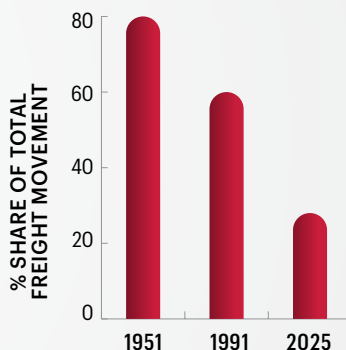


• The Railways has been working to improve revenue earnings

GOODS EARNINGS



RAIL FREIGHT SHARE



SOURCE INDIAN RAILWAYS

BLSS wagons on return (trips). In a country where rail tracks are already facing capacity constraints, running empty wagons is wasting your available infrastructure,” says Lalit Chandra Trivedi, former General Manager of the Railways.

He says the policy should have been designed after consulting industry players and any future extension of the unified freight rate to other commodities should take into account stakeholders’ concerns to make it workable.

REFORMS

Despite rising input costs, the Railways has not revised freight rates since 2018. Under the National Railway Policy, freight charges were already considered high and that any further increase could have led to a decline in traffic.

The Railways has been pushing for reforms to revive freight traffic, keeping in mind that it accounts for over 60% of revenue.

Between FY18 and FY27, freight



“The Railways is not differentiating between short lead and long lead traffic, which is a regressive step. It has an inherent advantage in carrying long lead traffic”

SANJIV GARG
SECRETARY GENERAL, THE
CHARTERED INSTITUTE OF
LOGISTICS & TRANSPORT

revenue has contributed an average of 68% to total internal revenue, making it the primary source of revenue for the Indian Railways.

In FY27, 99.7% of revenue is

estimated to be raised from traffic operations, with 62% of traffic revenue estimated to come from freight (₹1.89 lakh crore), and 29% from passenger services. Revenue from freight and passenger services is estimated to increase by 5.8% and 9.1% over the previous year.

Economic Survey 2025-26 noted that high freight rates distorted competition with roads, inflated commodity and consumer prices and increased the cost of logistics.

It observed that rationalising freight rates could improve revenue buoyancy, incentivise a modal shift of freight from roads and increase market share. It would also help decongest road space and decarbonise the transport sector.

PERCEIVED SKEW

Another key concern is that the Railways’ freight revenue is skewed towards bulk commodities, which include goods such as coal, iron ore, cement, foodgrains, fertilisers, petroleum and limestone, contributing 84% of freight traffic.

The rest belongs to non-bulk goods such as container freight, vehicles, fast-moving consumer goods, pharmaceuticals and parcels. The contribution of container services, the closest proxy available for non-bulk goods, is estimated to increase from 4% of revenue in FY18 to 6% in FY27.

Rail freight charges are based on a minimum chargeable weight per wagon. The Draft National Railway Plan had observed that this makes rail transport less competitive for light cargo as charges are also linked to wagon capacity rather than the actual weight carried.

It noted that costs for first- and last-mile transportation, terminal handling and haulage made rail transportation of these goods costlier than by that by roads. **BT**

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